



ECONOMICS IN 60 SECONDS

Issue #003

The Prisoner's Dilemma

Why two rational people, each acting in their own best interest, can still end up worse off than if they had simply trusted each other.

STAY
SILENT

BETRAY
the tempting path

TIMELESS IDEAS. EVERYDAY IMPACT.

TWO SUSPECTS, TWO ROOMS

Confess, or stay silent?

Two suspects are arrested and held apart. They cannot speak. Each is offered the same deal: betray your partner and your sentence is cut. Stay silent and you gamble on theirs.

IF BOTH STAY SILENT

A light sentence for each. The best joint outcome.

IF YOU BETRAY AND THEY STAY SILENT

You walk free. They take the fall.

WHY BETRAYAL LOOKS SMART

Whatever they do, betrayal seems safer

Think it through from one suspect's chair. You do not know their choice, so you reason about both.

IF THEY STAY SILENT

Betraying sets you free instead of a light sentence.

IF THEY BETRAY

Betraying spares you the worst sentence of all.

Either way, betrayal wins. **So both betray.**

FOUR OUTCOMES, ONE TRAP

The whole dilemma,
in one grid

		SUSPECT B	
		Silent	Betray
SUSPECT A	Silent	-1 , -1 both lightly punished	-10 , 0 A takes the fall
	Betray	0 , -10 B takes the fall	-6 , -6 where they end up

Two rational choices add up to a result **neither** of them wanted.

WAS AVAILABLE TO BOTH



a light sentence each

WHAT THEY CHOSE



a heavy one each

Cooperation was right there. Pursued separately, self-interest walked them straight past it.

THE SAME TRAP, EVERYWHERE

You have seen this
far beyond a prison



Price wars

Both firms cut prices, both lose margin.



Arms races

Each side arms for safety, both end less safe.



Climate pacts

Everyone waits for others to cut first.



Group projects

Each does less, hoping the rest carry it.

WHAT CHANGES THE GAME

Cooperation is not a virtue. It is a structure.

The single round traps you. Change the conditions and trust becomes the rational move, not the naive one.



It was never really about prisoners. It is about the **incentives** we build around people.

Blame the players and nothing changes. Change the structure they play inside, the rewards, the repetition, the visibility, and behaviour follows. Design better incentives, and cooperation stops needing heroes.

Flood and Dresher framed it in 1950. Albert Tucker gave it its name.



Where have you watched everyone lose,
simply because no one could afford to
cooperate first?

Share it below. The sharpest answer shapes a future issue.



ECONOMICS IN 60 SECONDS · #003

The Prisoner's Dilemma

ONE IDEA. BETTER DECISIONS.

Next issue, #004 · The Tragedy of the Commons

By Arjun Agrawal · Associate DP Coordinator · Visiting Faculty, Fergusson College

